



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Ms Sarah Carolan

Of

329 Princes Street
PORT MELBOURNE VIC 3208

Prepared on:

14th March 2018

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

14/03/2018

Mr Sarah Carolan
329 Princes Street
PORT MELBOURNE VIC 3208

Dear Sarah,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Cash flow analysis
- Living requirements
- Superannuation
- Retirement Planning
- Estate Planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Sarah, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Determine cash flow requirements over the short to medium term.
- Gain an understanding of what is required in order to build a satisfactory capital position prior to retirement.
- Review your superannuation portfolio.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Ms
First Name	Sarah
Surname	Carolan
Gender	M
Date of Birth	27/04/1979
Age Last Birthday	38

Estate Planning

	Sarah
Do you have a Current Will?	Yes
Do you have Current Powers of Attorney?	No
Do you have a Testamentary Trust?	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	\$1,100,000
Total Lifestyle Assets	\$1,100,000

Investment Assets	
Premium Choice Managed Fund	\$270,000
Total Investment Assets	\$270,000

Superannuation Assets	
Premium Choice Retirement Service	\$160,436
Total Superannuation Assets	\$160,436

Total ASSETS	\$1,530,436
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LIABILITIES

Nil	\$0
Total Liabilities	\$0

NET WORTH	\$1,530,436
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Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2017-18

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$37,000	19c for each \$1 over \$18,200
\$37,001 – \$87,000	\$3,572 plus 32.5c for each \$1 over \$37,000
\$87,001 – \$180,000	\$19,822 plus 37c for each \$1 over \$87,000
\$180,001 and over	\$54,232 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation phase	Super pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

* From 1/07/17, the taxation of earnings in pension phase will apply to 'transition to retirement' income streams where *preservation age has been reached and you have not yet retired*.

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute

Current Expenditure

- Sarah, a breakdown of funds required to meet your current living needs is as follows:

Description	Amount	Frequency	Annual Total
Groceries	\$1,080	M	\$12,960
Entertainment	\$390	M	\$4,680
Swimming	\$200	Q	\$800
Child Care	\$866	M	\$10,392
Kids in motion	\$600	Q	\$2,400
Education – School Fees	\$1,000	Y	\$1,000
Tutor	\$303	M	\$3,636
Clothing - shoes	\$180	Y	\$180
Clothing	\$200	M	\$2,400
Lunch orders	\$50	W	\$2,600
Home maintenance	\$150	M	\$1,800
Dog expenses	\$115	M	\$1,380
Medication	\$680	M	\$8,160
Gynaecologist	\$260	Y	\$260
Family Counsellor	\$580	M	\$6,960
Gymnastics	\$316	Q	\$1,264
Dancing	\$132	Q	\$528
Haircuts	\$171	M	\$2,052
Council Rates	\$150	M	\$1,800
Water	\$158	Q	\$632
Electricity	\$515	Q	\$2,060
Gas	\$500	Q	\$2,000
Netflix	\$13	M	\$156
Telephone – Mobile 1	\$130	M	\$1,560
Coffee	\$173	M	\$2,076
Pub meals	\$99	W	\$5,148
Internet Fees	\$115	M	\$1,380
Dentist / Orthodontist	\$400	M	\$4,800
Birthday Parties	\$1,200	Y	\$1,200
Ubers	\$80	M	\$960
Holidays	\$500	M	\$6,000
Gifts	\$600	Y	\$600
Registration	\$800	Y	\$800
Comprehensive Insurance	\$98	M	\$1,170
Fuel	\$100	F	\$2,600
Maintenance	\$1,000	Y	\$1,000
House and Contents	\$120	M	\$1,440
Health	\$300	M	\$3,600
Other:	\$405	M	\$4,860
TOTAL			\$109,294

- It may be deduced from this analysis that you currently require net income **\$109,294 per annum** to meet your current living requirements without taking into consideration any extraordinary expenses.

Additional expenditure required for Jay and Ruby's Secondary School education

- Your intention is to send Jay and Ruby to Wesley College for their Secondary School education.
- The 'current' living expenses do not account for the additional expenses that will be incurred throughout this period.
- Therefore, additional income will be required throughout these school years. An estimate of the net income required over this period is detailed on the following page. This is also summarised in the table below:

Year	Net income required
2018	\$109,294
2019	\$113,494
2020	\$109,294
2021	\$138,411
2022	\$142,611
2023	\$143,061
2024	\$171,178
2025	\$167,528
2026	\$172,178
2027	\$142,061
2028	\$138,411
2029	\$138,411

It is also noted that you require approximately \$300,000 to undertake extensions to your existing residential property. Hence, an **additional \$300,000 of net income will be required in the short to medium term** in order to undertake this extension.

Year	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Jay	Grade 4	Grade 5	Grade 6	Year 7	Year 8	Year 9	Year 10	Year 11	Year 12				
Ruby	Grade 1	Grade 2	Grade 3	Grade 4	Grade 5	Grade 6	Year 7	Year 8	Year 9	Year 10	Year 11	Year 12	
Jay application fee		\$ 200											
Jay confirmation fee		\$ 1,200											
Jay tuition contribution fee		\$ 2,800											
Jay Year 9 Clunes Program						\$ 4,650							
Jay Year 10 Yiramalay Induction Program							\$ 3,650						
Jay consolidated charge				\$ 1,810	\$ 1,810	\$ 1,810	\$ 1,810	\$ 1,810	\$ 1,810				
Jay technology fee				\$ 1,200	\$ 1,200	\$ 1,200	\$ 1,200	\$ 1,200	\$ 1,200				
Jay tuition fee				\$ 24,607	\$ 24,607	\$ 24,607	\$ 24,607	\$ 24,607	\$ 24,607				
Jay uniform expenses				\$ 1,500	\$ 1,500	\$ 1,500	\$ 1,500	\$ 1,500	\$ 1,500				
Ruby application fee					\$ 200								
Ruby confirmation fee					\$ 1,200								
Ruby tuition contribution fee					\$ 2,800								
Ruby Year 9 Clunes Program									\$ 4,650				
Ruby Year 10 Yiramalay Induction Program										\$ 3,650			
Ruby consolidated charge							\$ 1,810	\$ 1,810	\$ 1,810	\$ 1,810	\$ 1,810	\$ 1,810	
Ruby technology fee							\$ 1,200	\$ 1,200	\$ 1,200	\$ 1,200	\$ 1,200	\$ 1,200	
Ruby tuition fee							\$ 24,607	\$ 24,607	\$ 24,607	\$ 24,607	\$ 24,607	\$ 24,607	
Ruby uniform expenses							\$ 1,500	\$ 1,500	\$ 1,500	\$ 1,500	\$ 1,500	\$ 1,500	
TOTAL SECONDARY SCHOOL EXPENSES	\$ -	\$ 4,200	\$ -	\$ 29,117	\$ 33,317	\$ 33,767	\$ 61,884	\$ 58,234	\$ 62,884	\$ 32,767	\$ 29,117	\$ 29,117	\$ -
Living expenses	\$ 109,294	\$ 109,294	\$ 109,294	\$ 109,294	\$ 109,294	\$ 109,294	\$ 109,294	\$ 109,294	\$ 109,294	\$ 109,294	\$ 109,294	\$ 109,294	\$ 109,294
TOTAL FUNDS REQUIRED	\$ 109,294	\$ 113,494	\$ 109,294	\$ 138,411	\$ 142,611	\$ 143,061	\$ 171,178	\$ 167,528	\$ 172,178	\$ 142,061	\$ 138,411	\$ 138,411	\$ 109,294

Retirement Planning

- Aside from the expenses detailed thus far, you must also consider saving for your retirement.
- You currently have approximately \$160,000 in your Premium Choice Retirement Serve Superannuation Fund.
- We have provided some retirement planning projections below assuming you will require a net annual income in retirement of \$80,000.
- Should you not start contributing to superannuation, we estimate that you will accumulate the following retirement capital balance at ages 60 and 65 respectively (assuming an annual investment return of 5.5% p.a.).

Age	Superannuation Capital	Age at which capital will reduce to zero
60	\$519,629	Age 69
65	\$679,134	Age 77

- Based on these figures you currently have a significant retirement capital shortfall.
- Should you contribute \$15,000 (gross) per annum to super, we estimate that you will accumulate the following retirement capital balance at ages 60 and 65 respectively (assuming an annual investment return of 5.5% p.a.).

Age	Superannuation Capital	Age at which capital will reduce to zero
60	\$1,040,625	Age 84
65	\$1,431,215	N/A (\$1.4m remaining at age 90)

- Therefore, in an effort to achieve a satisfactory capital balance in retirement, **an additional \$15,000 of income may be required each year** to allow you to contribute to superannuation.

Existing Superannuation Funds

Sarah, you currently hold the following superannuation fund:

- Premium Choice Retirement Service – Superannuation Service #31475800005 – **Balance \$160,436**

Recommendations:

- Sarah, in light of the fact your existing Premium Choice Retirement Service fund has quite a high fee structure, you may wish to consider rolling across these superannuation monies to a more fee friendly wholesale 'master trust' superannuation accumulation platform with Colonial First State.
- A comparison of the fee structure under each of these platforms is contained in the table below:

Type of Fee or Cost	Premium Choice Retirement Service	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	0.4% p.a. – admin 0.1% p.a. – non NAB inv <u>0.05% p.a.</u> – member 0.55% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	1.1% p.a.	0.60% p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.57% p.a.	0.92% p.a.
Annual average cost - Total \$160,436 investment	\$3,561.68	\$2,438.63

Outcomes Post Recommendation:

- There is an estimated fee saving of **\$1,123 per annum** if the superannuation balance were to be rolled to the suggested alternative super fund.
- Your superannuation monies should be invested in line with your risk profile.
- You will continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Estate Planning

Although considerable emphasis is placed on wealth creation and protection, a third vital aspect of your financial strategy is the control of the manner in which your wealth will be distributed after your death.

The expression “Estate planning” represents the concept of the planning and documentation of your wishes for the distribution of your wealth following death, whether the assets are held personally or controlled by related entities such as trusts or companies.

Estate planning is a specialised area, and it is important that you obtain professional advice in relation to all areas of your estate plan. However we outline below some of the issues you should consider in designing your estate plan.

Wills and Testamentary Trusts

A Will is the first step in ensuring that the distribution of your estate is actioned in accordance with your wishes. If you die without a Will (intestate), it may be that a court will control both the manner of distribution of your estate and the persons to whom your estate is distributed, and this can cause unnecessary distress.

You have a Will in place but it does not have Testamentary Trust provisions.

Recommendation:

- **We have an arrangement with Lakeside Lawyers Pty Ltd who can assist with the implementation of an appropriate Will as soon as possible.**

It is important to ensure your Will:

- Nominates executors (and substitute executors) who are likely to survive you and who clearly understand your wishes.
- Nominates beneficiaries in relation to every segment of your estate and nominates alternative beneficiaries should your primary beneficiaries predecease you.
- Bequeaths monetary value or a percentage of your estate rather than a specific asset, as there is the risk that an asset may not be in existence at the time of distribution of the estate.
- Includes provision for the establishment of a testamentary trust, which can be a tax effective tool for distributing your estate.

Benefits:

- Peace of mind, knowing all your wishes are detailed to be carried out, and plans articulated for your immediate family to be adequately provided for in the event of your death.
- If your Will incorporates a testamentary trust, your assets would pass into a discretionary trust (or multiple trusts) and be held for the benefit of your beneficiaries, (rather than directly by them).
- This could be determined on an annual basis having regard to each beneficiary's personal income and taxation circumstances (importantly, income distributed from a testamentary trust to minors is taxed at normal adult marginal tax rates), as well as family circumstances (assets held within a testamentary trust may provide some protection in the event of family breakdown or bankruptcy).

Non Estate Assets

It is important your estate planning arrangements incorporate your entire asset base.

Recommendation:

- **We recommend you consult an approved legal practitioner. We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**

Although a Will constitutes a vital part of your estate planning arrangements, not all of your assets are automatically subject to the provisions of a Will. Examples of such 'assets' are as follows:

- Superannuation assets – the Trustee of a superannuation fund is required to distribute your superannuation monies (including any life insurance benefits paid as a result of the death of the member) in accordance with the Trust Deed. You usually have the option of informing the Trustee of your preferences in relation to the distribution of your funds, but this may or may not be binding on the Trustee.
- Jointly held assets – if assets are held as 'joint tenants', then upon the death of one of the owners the asset automatically passes in full to the other owner (no matter what is said in the Will of the deceased co-owner). On the other hand, assets held as 'tenants in common' are able to be disposed of as part of a Will.
- Life insurance policies – depending on the ownership of the policy, benefits can be paid to the following - the deceased's estate and therefore distributed through their Will (when the owner of the policy is also the insured person) - a person who has been nominated as the beneficiary of a policy by the deceased owner (in which case the beneficiary automatically receives the proceeds of the policy) - or any third party who owns the policy.
- Assets owned by a Trust – these assets are legally owned by the Trustee of the Trust and therefore are not able to be dealt with through a person's Will.

(Note: In recent times, the use of Trusts as an estate planning vehicle has become wide spread and your solicitor or other business adviser should be consulted if you wish to exercise a measure of control over the way in which Trust assets are managed or distributed. For example if a company acts as trustee for a Trust, you may retain an interest in the company and therefore the trust by owning shares in that company.)

- Assets owned by a company – only the deceased's shares in the company may be dealt with through their Will.

Powers of Attorney

This element of your estate plan is designed to be implemented prior to your death so that your affairs can be conducted appropriately.

You currently do not have Powers of Attorney in place.

Recommendation:

- **We recommend you consult an approved legal practitioner to ensure they are prepared as soon as possible.**
- **We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**
- **We recommend you consult Lakeside Lawyers Pty Ltd for a review every three years.**

There are three 'standard' types of Power of Attorney:

- A general Power of Attorney which can provide the donee with restricted or unrestricted authority over the donor's financial affairs (but not their health care). Such a policy lapses if the donor loses mental capacity.
- An enduring Power of Attorney which provides the donee with authority over the donor's financial affairs (but not their health care) until they die (i.e. it extends beyond any loss of mental capacity).
- An enduring medical Power of Attorney which provides the donee with authority over the medical needs of the donor if the donor himself is unable to make such decisions (whether temporarily or permanently).

Note 1 - A Power of Attorney may only be granted by someone who is over the age of 18 and who is of sound mind at the time of the grant and capable of fully understanding the nature and purpose of the document they are signing.

Note 2 - The attorney is not able to do anything illegal while operating under a Power of Attorney, nor is he/she able to sign a Will on behalf of the donor, or to transfer the Power of Attorney to someone else unless authorised to do so.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$2,200 (inclusive of GST), which will be invoiced to you.

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.